VA Servicing Purchase – Bankruptcy Testing Template

DECEMBER 2024 | OPERATIONAL RISK TESTING

Template use: Replace bracketed fields with verified account facts and retain only the applicable exception clause(s). Record N/A when the question's bankruptcy trigger does not apply.

01 | Bankruptcy filed during the TPP

Test question. For a borrower who filed bankruptcy during the trial payment plan (TPP), did the servicer (i) provide evidence of bankruptcy court approval or acquiescence to VASP for a Chapter 13 filing and (ii) refrain from treating the borrower as eligible for VASP until the proceedings were closed for a Chapter 7 filing?

Citation: VA Servicer Handbook M26-4, Chapter 9, paragraph 9.07(a)(2)(a) (August 12, 2024), p. 9-9.

EXCEPTION STATEMENT

For account [account ID], the borrower filed Chapter [13/7] bankruptcy during the TPP. The servicer [did not provide evidence of the bankruptcy court's approval or acquiescence to VASP / treated the borrower as eligible for VASP before the bankruptcy proceedings were closed], contrary to paragraph 9.07(a)(2)(a).

02 | Chapter 7 discharge language

Test question. For a borrower whose VA-guaranteed loan debt was discharged through Chapter 7 bankruptcy, did the VASP loan modification document include the complete statement prescribed by paragraph 9.08(c)(3)?

Citation: VA Servicer Handbook M26-4, Chapter 9, paragraph 9.08(c)(3) (August 12, 2024), p. 9-11.

EXCEPTION STATEMENT

For account [account ID], the servicer [omitted / altered] the required Chapter 7 discharge statement in the VASP loan modification document, although the VA-guaranteed loan debt had been discharged. The document lacked the complete prescribed language addressing personal liability, voluntary execution without debt affirmation, and collection of discharged obligations, contrary to paragraph 9.08(c)(3).